

M/s Meters and Instruments Pvt. Ltd. v. Kanchan Mehta

Citation: (2018) 1 SCC 560 | Court: Supreme Court | Year: 2018

Coram: Division Bench (A.K. Goel & U.U. Lalit JJ.) | Subject: Negotiable Instruments & NI Act | Provisions: NI Act Sec 138, 143, 147

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Offences under Section 138 NI Act are primarily civil wrongs with criminal enforcement teeth. Courts can compound Section 138 proceedings and discharge the accused even without the complainant's consent if the cheque amount along with reasonable interest/costs is deposited.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding NI Act Sec 138, 143, 147. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to NI Act Sec 138, 143, 147.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Section 143 allows summary trial. Section 147 provides that offences under the Act are compoundable. Where compensatory restitution is satisfied, the criminal court is not bound to continue trial merely to satiate complainant vindictiveness.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Permitted discharge upon deposit of cheque amount plus costs without complainant consent.

â€¢ Emphasized compensatory civil objective over punitive incarceration in Section 138.

â€¢ Authorized use of modern electronic payment and online court appearance.